

OEM Commercial Terms - INTERNAL

Roadgrip Tyres Ltd. Confidential: for the sales and key-account teams only. Fictional company, synthetic demo content.

1. Purpose

This document sets out the standard commercial framework for original-equipment (OE) supply agreements with vehicle manufacturers. Any deviation needs the approvals listed in Section 8. Use this framework in every OEM quotation, whether it is for a new platform nomination, a plant expansion or a foreign OEM localising in India.

2. Engagement tiers

Tier	Qualifying volume	Engineering support	Tooling
Platform Partner	1 lakh+ tyres per annum per platform	Dedicated application engineer, joint validation	Co-funded 50:50
Preferred Supplier	25,000-1 lakh tyres per annum	Shared application engineer	OEM-funded, amortised over 3 years
Approved Source	Below 25,000 tyres per annum	On request	OEM-funded upfront

New EV platforms qualify for Platform Partner treatment at 60,000 tyres per annum. This recognises the strategic value of EV fitment for the replacement market.

3. Pricing principles

- Piece price is quoted for each tyre size and specification. It is built from the standard costing sheet plus the target contribution margin for the tier: 22% for Platform Partner, 25% for Preferred Supplier and 28% for Approved Source.
- Raw-material indexation applies every quarter, using the published natural rubber, synthetic rubber and carbon black indices. The base is the quarter in which the quotation is issued.
- Annual productivity give-back is capped at 1.5% a year and is offered only to Platform Partners with a volume commitment of three years or more.
- Launch pricing: for the first six months after SOP we may offer up to 3% below the list OE price to win nomination. Recover it through indexation from month seven.

4. Payment and credit

- Standard terms: 45 days from delivery, with consolidated monthly invoicing.

- Platform Partners with more than INR 50 crore of annual business may receive 60 days, subject to CFO approval.
- Foreign OEMs setting up in India receive a credit limit based on a parent-company guarantee or a standby letter of credit.
- Interest of 1.25% a month applies to overdue balances beyond 15 days of grace.

5. Supply commitments

- Dual-plant qualification (Chennai and Sanand) is included for Platform Partners, so supply continues if one plant is disrupted.
- Just-in-time or sequenced delivery is available within 500 km of a Roadgrip plant or warehouse. Outside that radius, a buffer stock of 10 days is held at an agreed 3PL location.
- Capacity is reserved against the OEM's 18-month rolling forecast. Commitments are firm for 3 months, variable by 15% for months 4-6, and indicative after that.

6. Quality and warranty

- PPAP Level 3 submission and run-at-rate audit before SOP.
- The target is below 25 PPM, with 8D reporting within 10 working days of any complaint.
- OE warranty follows the vehicle warranty up to five years. Field-failure costs are shared on the basis of root-cause findings.

7. Signals that should trigger outreach

Key-account managers should open conversations as soon as any of the following is reported:

1. A new model launch or platform announcement, especially an EV platform
2. A new plant, capacity expansion or new assembly line
3. A foreign OEM's investment in India or localisation drive
4. PLI scheme approvals or state incentives awarded to an OEM

8. Approval matrix

Deviation Approver

Margin below tier target by up to 3 points Sales Director

Margin below tier target by more than 3 points CFO and Sales Director

Payment terms beyond 60 days CFO

Tooling co-funding outside tier rules Head of OE Business

Exclusive supply clauses Managing Director

9. Documentation checklist

- Signed NDA before sharing compound or construction data
- Quotation on the standard template with its indexation base quarter
- Capacity confirmation from Plant Planning
- Credit assessment from Finance

Send questions to the OE Business Office.